9 Tokenization of assets

This chapter covers

- Developing smart contracts for tokenization of assets
- Reviewing the Ethereum improvement proposal process and standards
- Understanding fungible and non-fungible tokens
- Exploring ERC standard tokens ERC20 and ERC721 for fungible and non-fungible assets
- Designing and developing of ERC721-compliant real estate token

A smart contract can tokenize any asset, tangible (real, financial) or intangible (brand, performance). *Tokenize* means representing the asset with a digital unit that can be transferred, traded, exchanged, regulated, and managed like fiat currency or cryptocurrency. Examples of assets are computing artifacts, files, and photos on digital media, real estate, collectibles, stocks, and even intangible concepts such as security and performance. The asset can be virtual, physical, or imaginary! CryptoKitties is an example of the successful tokenization of an imaginary pet family launched on the Ethereum blockchain. You can buy, trade, and breed CryptoKitties as digital pets. You can view many other working tokens on Etherscan. Beyond the hype of digital pets, tokenization has the potential to be a disruptive, visible aspect of blockchain innovation.

Tokenization of assets further helps with the following: